



MACRO ECONOMY

VARIABLES: Urbanisation, 100-head count ratio, capital expenditure/population, GDP deflator (current GDP/constant GDP), per capita GDP, population/total debt, GDP for power, gas and water supply (at current price)/population.

BIG STATES

RANK 2008		2008*	2007	2006	2005	2004
1	GUJARAT	2.71	3	4	4	3
2	PUNJAB	2.63	1	1	1	1
3	HIMACHAL PRADESH	2.59	2	2	2	6
4	HARYANA	2.36	4	3	3	2
5	MAHARASHTRA	2.11	6	5	6	4
6	JAMMU & KASHMIR	2.07	7	6	7	7
7	TAMIL NADU	2.03	8	10	5	5
8	KERALA	2.03	5	7	9	8
9	KARNATAKA	1.98	10	11	11	10
10	ANDHRA PRADESH	1.87	9	9	8	9
11	CHHATTISGARH	1.82	12	14	17	16
12	UTTARAKHAND	1.72	13	8	10	11
13	ASSAM	1.69	11	17	16	18
14	WEST BENGAL	1.63	15	13	13	14
15	RAJASTHAN	1.46	14	12	12	12
16	MADHYA PRADESH	1.28	16	15	14	13
17	JHARKHAND	1.17	17	19	19	17
18	UTTAR PRADESH	1.14	19	16	15	15
19	ORISSA	0.99	18	18	18	19
20	BIHAR	0.60	20	20	20	20

SMALL STATES

1	GOA	4.11	1	1	2	2
2	PUDUCHERRY	4.02	2	3	3	3
3	DELHI	3.60	3	2	1	1
4	MIZORAM	3.34	5	5	5	5
5	ARUNACHAL PRADESH	2.89	7	6	6	6
6	NAGALAND	2.47	6	7	8	8
7	TRIPURA	2.37	8	9	9	9
8	SIKKIM	2.13	4	4	4	4
9	MANIPUR	1.91	10	8	7	7
10	MEGHALAYA	1.82	9	10	10	10

UNION TERRITORIES

1	CHANDIGARH	4.97	1	1	1	1
2	LAKSHADWEEP	3.73	3	3	3	3
3	DAMAN & DIU	3.67	4	2	2	2
4	ANDAMAN & NICOBAR ISLANDS	3.14	2	4	4	4
5	DADRA & NAGAR HAVELI	2.94	5	5	5	5

Rank went down Constant rank Rank went up Fastest Mover



FIRST LESSONS:
Education brings growth

ANIL DAYAL

The challenge for the state is to sustain the superstructure of the social sector, which exacts a high cost of delivery.

fired up a virtuous cycle for spread of higher education. Little wonder, Himachal has 20 per cent college enrolment—twice the national average.

The state also succeeds in the health sector, marked by an explosion of grassroots institutions and services, piggybacking on sound education parameters. A high degree of community awareness has translated into health gains, with the state performing brilliantly on the indices of life expectancy, immunisation and infant and maternal mortality.

But the challenge, according to Chief Minister Prem Kumar Dhumal, is to sustain the superstructure of the social sector, which exacts a high cost of delivery. "A resource crunch would sow the seeds of failure," adds secretary, finance and planning, Arvind Mehta. And such a danger is present considering that Himachal has a debt burden of Rs 23,000 crore. Its only hope is hydel power generation where the state gets 12 per cent royalty. The state's finances are expected to stabilise when the projects of 6,000 MW get commissioned by 2014.

Already, an investment of Rs 55,000 crore on these private sector projects has powered the economy, which has not benefited from the tax waiver granted by the Centre. In the absence of industrial infrastructure on the ground, the state has attracted investments of only Rs 3,200 crore. Creating employment in pace with a high turnover of educated youth is another challenge. Tourism is also emerging as a key driver of the service industry. As such, Himachal has scripted its success, it now needs to nurture it.

by Ramesh Vinayak



ASSAM IS THE
FASTEST MOVER

Call it the Manmohan Singh effect. Better revenue generation and additionality of resources from the Centre have enabled the strife-torn state to manage its budget better for growth.